Inside the U.S. Deal to Get Venezuela’s Oil

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AI Executive Summary

1. Core Thesis The Trump administration has secured an unconventional energy partnership granting direct state-owned stakes in Venezuela's oil reserves through a private sector structure, aiming to secure cheap crude for US national security and economic strategy despite significant legal complexities, political instability, and delayed timelines for consumer benefits. The deal frames Venezuelan access as a strategic asset to hedge against Middle East instability but relies on a unique bypass of Venezuelan constitutional restrictions by routing ownership through a private company to avoid immediate legislative obstruction or the legitimacy challenges surrounding the interim government in Caracas.

2. Key Arguments & Data

3. **Deal Structure:** US government obtains a 35% equity stake in Alejandro Betancourt's North American Blue Energy Partners; gains rights to purchase 20% of production at cost, securing substantial control over oil flow and pricing.
4. **Resource Scope:** Access targets 17 specific oil fields containing an estimated 65 billion barrels (approximately one-fifth of Venezuela's proven reserves).
5. **Key Stakeholders:** US Energy Secretary Chris Wright, Secretary of State Marco Rubio, Pentagon's Office of Strategic Capital (OSC), and Venezuelan figures Alejandro Betancourt ("bolichicos") and Delcy Rodriguez (interim president, unelected).
6. **Pentagon Involvement:** Utilized the Pentagon's "Office of Strategic Capital," originally created under Biden for supply chain financing, to treat oil access as a national security matter.
7. **Legal Loophole:** Deal routed through private company structure (NABEP) to bypass the Venezuelan Constitution, which mandates that oil reserves belong to the state and cannot be transferred to foreign governments without administration.
8. **Political Risks:** Relies on cooperation from Delcy Rodriguez's unelected government; deal risks invalidation if she loses power in

future elections; Venezuela has no legitimate election recognized by international observers.
9. **US Oil Company Reaction:** Major executives reluctant to invest without security guarantees or legal reforms; now competing indirectly with a state-backed partner rather than traditional private sector players.
10. **Consumer Impact:** US consumers see immediate zero benefit; oil production requires significant ramp-up time (currently producing comparable levels to North Dakota but will take years to scale up).

11. **Strategic Motivation:** President Trump cites the deal as a hedge against Middle East chaos (specifically Iran war fallout) and to refill the US Strategic Petroleum Reserve (SPR), with most benefits materializing after his term ends.

12. Actionable Takeaways

13. **Monitor Sovereignty Risks:** Investors and analysts should closely track legal challenges regarding the Venezuelan Constitution, specifically whether the private company structure used to bypass state ownership holds up under scrutiny or future government changes.
14. **Reassess Election Dynamics:** Recognize that US policy leverage is tied to the stability of an interim Venezuelan leadership; expect potential deal volatility if Delcy Rodriguez loses her political position in a democratic transition.
15. **Adjust Investment Expectations:** Do not anticipate immediate short-term relief from gas prices or energy market stabilization for US consumers; understand this as a long-term (post-administration) supply strategy rather than immediate crisis mitigation.

Full Transcript

On Friday night, President Trump took to truth social with a surprising announcement. He said that the U.S. and Venezuela had just agreed to, quote, the biggest oil deal in world history. Hey, I'm breaking news tonight. President Trump boasting of a huge oil deal on social media. In fact, he's calling it. No one believed that this was happening. We were all really, really surprised when this came out. Our colleague Vera Bergengruen covers national security. So we've been hearing rumblings that there was some kind of major oil deal about to be announced. We thought it was going to be oil companies or something new on that front. But what it basically ended up being was a very, very unusual deal announced by President Trump that the US government itself was going to be taking a stake in the oil business in Venezuela.

The oil deal

comes at a sensitive time for the Trump administration. As the war in Iran drags on, gas prices stay high, and voters get ready to go to the polls. And from my conversations with people involved in this, the Trump administration is really trying to use this as a hedge against the chaos in the Middle East because of Trump's decision to go to war with Iran. And Trump has said that he's going to use this oil to refill the US Strategic Petroleum Reserve and have all these grand plans. But most of this is not going to happen until way after he's out of office. Welcome to The Journal, our show about money, business, and power. I'm Jessica Mendoza. It's Tuesday, September 1st. Coming up on the show, Trump's unusual deal to get Venezuelan oil. Venezuela is home to the world's largest oil reserves. The country says it has some 300 billion barrels of proven reserves. By comparison, the US has an estimated 46 billion barrels.

The Trump administration has had its eye on Venezuela's oil for a long time. So the president, even before he decided to take out Nicolás Maduro, was talking about how one of his biggest interests in this country was the oil and securing a reliable source of crude in the Western Hemisphere, especially as things in the Middle East are very unstable on and off. After Maduro's

ouster in January, he was replaced by Delcey Rodriguez, his vice president. That same week,

Trump gathered American oil executives at the White House and pressured them to start drilling. I am delighted to welcome almost two dozen of the biggest and most respected oil and gas executives in the world to the White House. really tried to incentivize US oil companies to come in. And US oil companies for a long time really wanted to get back in. But all these oil companies that we've seen meet with the president at the White House and kind of give their statements about how they're very interested, they needed more security. They wanted security guarantees. They want legal reforms, judicial reforms. Why do these companies feel they needed those guarantees, those reforms? Despite taking out President Maduro, you know, Venezuela's been incredibly unstable. It is dangerous. There's a lot of armed groups around a lot of these oil fields. Things are rusting. There hasn't really been much infrastructure change. There hasn't been big security changes or government changes. So they just want to see more of that before they feel comfortable taking the risk of making such big investments. And a lot of them really were putting the brakes on this with their own statements. Like the CEO of Exxon, who said that his company couldn't invest in Venezuela in its current state.

If we look at the legal and commercial constructs and frameworks in place today in Venezuela, today it's uninvestable. And that really frustrated the president. And over the last eight months or so, there have been quite a few reforms and things have been moving, but way too slowly for what he wanted. However, since Maduro's removal, Trump has claimed that the US was already seeing benefits. Billions and billions of barrels of oil is coming out of Venezuela. Over 100 million barrels already is in Houston refined and out. And paid for that war many, many times over. It's been very striking to hear the president's statements because, you know, of course he hasn't talked much about democracy. He does kind of revel in being seen as the liberator of Venezuela. But by President Trump's own telling, the oil has been flowing. And most importantly, America has been hugely benefiting. According to Vera's reporting, Venezuela is selling oil, and the U.S. is controlling the process. But so far, that money hasn't actually come to the U.S. I think it's really important to note that you can't separate what's

happening in Venezuela from what's happening from the fallout of Trump's decision to go to war with Iran. It was only a month and a half later that he decided to go in and the U.S. really got stuck. You know, the Strait of Hormuz was closed. It really impacted global energy markets. It really impacted the bottom line for many Americans. I don't like these endless wars. This is not an endless war. We've been doing this for And if you notice, every time Trump is asked about Iran, he privates back to Venezuela. Hey, we took over a very powerful country, Venezuela, a lot of soldiers, big strong military. We took over Venezuela in a matter of minutes. We destroyed the capability of Iran in a matter of days. Nobody's ever seen anything like it. Now I'm going to finish it. And because he kept talking about it in these really Maximalist terms, a lot of the people around him were looking at this and trying to figure out how can we really put some teeth behind this notion that the U.S. is actually accessing all this oil and that it's going to be a long-term thing that is going to benefit the American people. Various reporting shows that over the past few months, administration officials worked to turn the president's repeated claims about getting Venezuelan oil into a reality. So how did the Trump administration make it happen?

How did the deal come about? About six months ago, things really started moving. They were trying to figure out how they could really accelerate things, how they could just force more of this investment to happen more quickly, especially if the U.S. oil companies were reluctant. And they started trying to figure out how they could use the backing of the U.S. government to assure private investors that their investments were worth it, basically. And who could be someone who could really make this come true for them? And so who was involved? in these talks. So within the US government, the energy secretary, Chris Wright, who went to Caracas, Marco Rubio, the secretary of state, and strangely enough, the Pentagon, which was brought in rather late, but it has an obscure office that they realized could help, called the Office of Strategic Capital, OSC, which most people had never heard of. A lot of the negotiators said they'd never heard of it. A lot of my colleagues said they'd never heard of it. It also doesn't tell you anything, the name. It tells you nothing, exactly.

The Office of Strategic Capital was created under the Biden administration in 2022. It was built to work like a bank to secure financing for supply chains crucial to national security. And it was run by the Pentagon. Through that obscure office, the Trump administration saw an opportunity. They decided to do something very unusual, which was treat access to Venezuelan oil as a national security matter as a strategic asset. And basically they found a loophole where they could claim that and then use this office as their preferred mechanism to have the US government take a direct stake in Venezuelan oil. So that's the US side. Can you just talk about who's involved in the deal on the Venezuelan side of things? The person they settled on is Alejandro Betancourt. He's a controversial Venezuelan businessman who made a fortune doing business during the Chavez era.

Alejandro Betancourt runs a company called North American Blue Energy Partners. It's the second largest private oil company in Venezuela. So he's part of this generation of really wealthy Venezuelan dealmakers, in other words, they're called the bolichicos, and they're people who really benefited from their connections with Chavez to make a lot of money. Betancourt had lived in Europe, where he'd faced criminal investigations for alleged money laundering and corruption. He was never charged. Because of his connections, Betancourt had been a behind-the-scenes person for a while with some of these Trump-linked officials or operators. You know, he had a line in to Delcey Rodriguez. He was talking to her already as the US was getting ready to take out Maduro. What made him attractive to the administration and the argument that...

people made to Trump and to the White House was that he had something that all these big American oil companies didn't. He already had operations on the ground. He had these relationships in Caracas. But more importantly, he had the willingness to move extremely quickly without as much of a concern for the risks. You have the Pentagon and the State Department on one side and then Bettencourt and then Delcey Rodriguez on the other. What's actually in the deal? How does it work? We're still unraveling a lot of the details of how this is actually going to work. But for what's on paper right now that we have reported and the White House has confirmed, the US basically gets a 35% stake in this company owned by Betoncourt. And then they get the right to buy 20% of its oil production at cost. So basically

they get first dibs and they get to do it more cheaply. And by doing that, they get access to a lot of this oil in a way that Trump can really sell.

A spokesman for North American Blue Energy Partners said the company doesn't comment on commercial matters. Under the terms of the deal announced by the Trump administration, Bettencourt's company would have an opportunity to develop 17 oil fields set to contain 65 billion barrels of oil or one-fifth of the country's reserves. And the Pentagon would help finance it. The way we understand the deal now, the U.S. essentially gets three big things. They get a piece of this company. They get cheaper access to oil. And then they get substantial control over where that oil goes. And this is where the president says it's really going to translate to tangible benefits to Americans. And he says it's going to be very soon, which is something that experts tell us is impossible. But the White House has been celebrating this deal as a huge success. We've seen the State Department, Marco Rubio, everyone insisting that this is not just great for Americans economically, but for national security.

US officials have said that the state-backed company would become a huge corporate holder of proven reserves, second only to Saudi Arabia's state-owned oil company. Still, the deal is facing some big challenges, including whether or not it's even legal under Venezuelan law. That's after the break. Since the 1970s, Venezuela's oil industry has been controlled by the state. That arrangement was later written into the country's constitution. Venezuela is coming out of almost three decades of this socialist government, which built itself on oil and that, you know, it's only for the benefit of the Venezuelan people. And Venezuela's constitution says that the country's reserves belong to the state and they can't be transferred to a foreign government, to a private company. They belong to the state and they should be administering this. For decades, the country touted its oil reserves as the main source of its wealth.

which is why a deal that potentially gives the U.S. access to Venezuela's oil reserves hit a nerve. So, of course, now a lot of people are saying that this really does appear to be in conflict with the Constitution, what Trump and Rodriguez have agreed to. Also, just as importantly, one of the biggest issues hanging over all of this is that the government that is agreeing to this

was never elected. International observers, including the U.S., have said that the Maduro government didn't legitimately win the election that brought it to power in 2024. But when Maduro was ousted, much of his government stayed in place. And the Trump administration supported Delcy Rodriguez as interim president. She's only being kept there because Trump likes her, because the US backs her. But again, she was not elected. And not only was she not elected, but the current government is considered illegitimate by much of the international community. So why would...

The Rodriguez government, the government of Venezuela, agreed to this. At this point, the Rodriguez government is only trying to keep itself in power. The way that it was put to me by White House officials was, you know, we informed her this was happening. She is cooperative. But as for Rodriguez, you know, she is selling this to the public as, you know, huge amounts of investments, big number of jobs, and that this is going to be really critical for them to see benefits. But, you know, ultimately what's happening is that she is going to do whatever the Trump officials tell her to do. If Rodriguez is voted out of office in an election, it seems like the deal might not hold up. Exactly.

The debate since this deal has been announced and it's been really furious in Venezuela and with a lot of the exile community living on the outside is whether this is in any way a valid deal. And when you speak to White House officials and to US officials, they argue that that's why they did it through a private company. The Trump administration is very adamant that they are not signing this deal with Delci Rodriguez. They are making this deal with a private company and that private company is dealing with the Venezuelan government. And that is how they're getting around all of these tricky legal questions. A source involved in the negotiations told Vera that the private company structure was deliberately intended to bind future Venezuelan governments to the agreement and make it difficult to unwind. Can you talk about how the deal has been received so far in the US? We have seen a really interesting reaction, especially from some Republicans, many of whom are rather hardliners when it comes to the current Venezuelan government, which all of them were in agreement for decades, was a government they didn't want to deal with.

We've seen a lot of Republicans reluctant to criticize the deal itself because they don't want to criticize the president, but really uncomfortable with the fact that this is entrenching Delcey Rodriguez as the ruler of Venezuela for a very long time, given that now the US practically has a financial stake in keeping her in power. We saw Ted Cruz, the senator from Texas, cautiously praise the deal. I commend President Trump. for an agreement that on its face appears to have a really positive economic benefit for America. But say that none of this is going to work if there aren't fair and free elections really soon. Maduro was illegitimate. He was a Marxist. He had seized power contrary to the will of the voters. And from the beginning I had been urging, and I believe the administration is working towards this, that there should be free and fair elections. Where does this deal leave US oil companies?

And how have they responded? From oil executives who spoke to us, U.S. oil companies were not very happy with this. And it was largely because they weren't willing to take the risk at the speed and scale that the president wanted. And now they could basically find themselves competing against a company backed by their own government. So they're all trying to figure out what this means, even though none of them have really announced that this changes their plans. And then what about for American consumers? What does this mean? Ultimately, will U.S. consumers see lower gas prices from this deal? For American consumers right now, this basically means nothing. And we're seeing the administration really hammering home, this is going to be great. But American consumers from this deal are not going to see or feel anything for many, many, many years. Again, all of this is a potential oil that is still underground and it's going to take a very long time to really benefit American consumers.

Currently, Venezuela is producing about as much as North Dakota. And, you know, that's an important kind of thing to keep in mind. It's just going to take a very long time to ramp up. When you step back there and look at kind of the bigger picture, what does this story tell you? I think it really shows how determined Trump is to turn Venezuela into his landmark foreign policy win, and also a tangible economic win. Again, he spent months saying that he took this bold action to remove Maduro and that he secured this enormous supply of cheap oil for Americans. And he is going to use every tool at his disposal to make that closer to a reality, at least one

that he can sell. So he's going to use the Pentagon, the State Department. He's going to work with these controversial businessmen. But he really needs to be able to speak about Venezuela as A foreign policy went for the rest of his term. This was a way to really give him something he can point to, even if the benefits to oil companies to consumers don't materialize until way after he's out of office. Meanwhile, Vera says she'll be keeping an eye on the unstable political situation in Venezuela. Venezuela had these massive earthquakes in June. People are still recovering from that. And the country itself, the average person, has not seen a benefit from Maduro's removal for the most part.

The economic situation for people in Venezuela hasn't changed. And the idea that now they're going to do this, you know, what Trump calls a gift from Venezuela to the American people in abundant, cheap oil, when they really can be put food on the table, when they can keep the lights on, I think there's going to be a lot of pressure building for political change. And that may really end up hampering the Trump administration's efforts to wrench this through quickly. That's all for today, Tuesday, September 1st. The Journal is a co-production of Spotify and The Wall Street Journal. Additional reporting in this episode from Colin Eaton, Drew Fitzgerald, and Juan Ferreiro. Thanks for listening. See you tomorrow.